

08 Jul 2026 13:11:57 ET | 15 pages

Hengli Hydraulic (601100.SS)

2Q26E Preview: Strong Core Business but Sizable FX Loss Again; Humanoid Robot in Progress

CITI'S TAKE

While we expect Hengli to deliver 30% YoY revenue growth in 2Q26E driven by strong excavator component demand, we estimate its net profit to come in at Rmb888mn in 2Q26E, up by only 9% YoY (up 36% QoQ) and 2% ahead of Visible Alpha consensus due to ~Rmb200mn FX loss in 2Q26E (vs. ~Rmb26mn FX gain in 2Q25). Regarding the humanoid robot business, Hengli is currently supplying planetary roller screws to support its US client to produce ~100 units of humanoid robots per week, and based on our industry talk, the US client could ramp production to ~1k/~19k in 3Q/4Q26 and further increase volumes to 200k in 2027. We therefore estimate Hengli's humanoid robot revenue contribution to jump from ~1% in 2026E to ~8% in 2027E. We recommend investors use the FX or fund-flow-led share price weakness to accumulate the stock. Reiterate Buy.

2Q26E GPM – We expect Hengli's GPM to stay flat YoY at 44.0% in 2Q26E as Mexico and ball screw & linear guide plants could negatively impact the overall GPM before the two factories scale up. Upside surprises, if any, could come from the ball screw and linear guide plant due to [the spill-over effect on these products](#).

Compared to machinery OEM – While the downstream machinery OEMs' consolidation has come to an end, we think that the component makers' market share reshuffle is an ongoing event. We pointed out in 2024 that [by establishing a JV with Eddie Precision \(603638.SS\), Kawasaki Heavy \(7012.T\) is gradually retreating from China's construction machinery component market](#), favorable to Hengli from the market share perspective (Figure 7).

Humanoid robot potential – By acquiring the linear motion R&D team from a leading European bearing firm before and producing planetary roller screws in China by its ball screw & linear guide veterans, Hengli is competitive enough to penetrate the leading US humanoid robot maker. Besides planetary roller screws, Hengli strives to win orders of micro motors and micro screws for dexterous hands.

Earnings revision – We slightly increase our 2027E earnings forecasts by 1% to reflect higher humanoid robot revenue. We reiterate Buy on Hengli for its strong core business and “humanoid robot optionality” (Figure 4 and 6).

Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	2,509	1.870	0.5	58.1	9.2	16.6	0.6
2025A	2,734	2.040	9.1	53.2	8.4	16.5	0.5
2026E	3,291	2.454	20.3	44.2	9.6	20.3	0.6
2027E	4,350	3.244	32.2	33.5	7.9	25.9	0.8
2028E	5,295	3.949	21.7	27.5	6.4	25.7	1.0

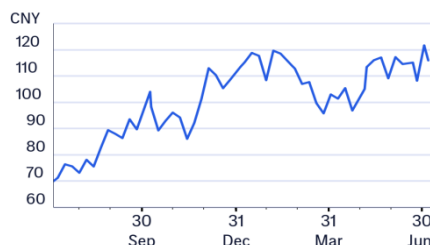
Source: Powered by dataCentral

Buy

Price (08 Jul 26 15:00)	Rmb108.570
Target price	Rmb160.000
Expected share price return	47.4%
Expected dividend yield	0.6%
Expected total return	48.0%
Market Cap	Rmb145,573M
	US\$21,505M

Price Performance

(RIC: 601100.SS, BB: 601100 CH)


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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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601100.SS: Fiscal year end 31-Dec						Price: Rmb108.570; TP: Rmb160.000; Market Cap: Rmb145,573m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	9,390	10,941	13,880	17,675	21,900	PE (x)	58.1	53.2	44.2	33.5	27.5
Cost of sales	-5,368	-6,392	-8,066	-10,372	-12,907	PB (x)	9.2	8.4	9.6	7.9	6.4
Gross profit	4,021	4,549	5,814	7,303	8,993	EV/EBITDA (x)	44.5	38.1	30.6	25.4	20.9
Gross Margin (%)	42.8	41.6	41.9	41.3	41.1	FCF yield (%)	1.0	0.6	1.6	2.3	2.8
EBITDA (Adj)	3,085	3,586	4,507	5,431	6,481	Dividend yield (%)	0.6	0.5	0.6	0.8	1.0
EBITDA Margin (Adj) (%)	32.9	32.8	32.5	30.7	29.6	Payout ratio (%)	37	27	27	27	27
Depreciation	-403	-512	-571	-601	-623	ROE (%)	16.6	16.5	20.3	25.9	25.7
Amortisation	-20	-18	-19	-20	-21	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	2,655	3,050	3,911	4,804	5,831	EBITDA	2,817	3,362	4,225	5,149	6,199
EBIT Margin (Adj) (%)	28.3	27.9	28.2	27.2	26.6	Working capital	-234	-1,384	-961	-1,212	-1,329
Net interest	131	-6	-252	47	70	Other	-105	-167	-446	-286	-380
Associates	0	0	0	0	0	Operating cashflow	2,479	1,811	2,818	3,651	4,489
Non-Op/Except/Other Adj	14	-12	-10	-8	-6	Capex	-1,071	-924	-557	-361	-365
Pre-tax profit	2,800	3,032	3,650	4,843	5,895	Net acq/disposals	-744	954	176	176	176
Tax	-288	-292	-352	-484	-589	Other	-1,284	-887	63	62	85
Extraord./Min.Int./Pref.div.	-4	-6	-7	-9	-11	Investing cashflow	-3,100	-857	-317	-123	-104
Reported net profit	2,509	2,734	3,291	4,350	5,295	Dividends paid	-603	-906	-751	-904	-1,195
Net Margin (%)	26.7	25.0	23.7	24.6	24.2	Financing cashflow	-788	-864	-766	-919	-1,210
Core NPAT	2,509	2,734	3,291	4,350	5,295	Net change in cash	-1,673	25	1,734	2,609	3,176
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	1,408	887	2,260	3,290	4,124
Reported EPS (Rmb)	1.870	2.040	2.454	3.244	3.949						
Core EPS (Rmb)	1.870	2.040	2.454	3.244	3.949						
DPS (Rmb)	0.700	0.560	0.674	0.891	1.084						
CFPS (Rmb)	1.848	1.351	2.101	2.723	3.348						
FCFPS (Rmb)	1.049	0.662	1.686	2.454	3.076						
BVPS (Rmb)	11.765	12.888	11.251	13.821	16.879						
Wtd avg ord shares (m)	1,342	1,340	1,341	1,341	1,341						
Wtd avg diluted shares (m)	1,342	1,340	1,341	1,341	1,341						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	4.5	16.5	26.9	27.3	23.9						
EBIT (Adj) (%)	8.5	14.9	28.3	22.8	21.4						
Core NPAT (%)	0.4	9.0	20.4	32.2	21.7						
Core EPS (%)	0.5	9.1	20.3	32.2	21.7						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	8,910	9,216	6,216	8,825	12,001						
Accounts receivables	1,371	1,910	2,423	3,086	3,824						
Inventory	1,765	2,154	2,718	3,496	4,350						
Net fixed & other tangibles	5,361	5,986	5,933	5,651	5,348						
Goodwill & intangibles	439	451	466	482	501						
Financial & other assets	1,793	1,953	2,158	2,402	2,670						
Total assets	19,639	21,671	19,914	23,942	28,694						
Accounts payable	889	1,023	1,290	1,659	2,065						
Short-term debt	15	14	14	14	14						
Long-term debt	0	20	20	20	20						
Provisions & other liab	2,906	3,277	3,440	3,644	3,880						
Total liabilities	3,810	4,333	4,764	5,337	5,978						
Shareholders' equity	15,775	17,280	15,085	18,531	22,631						
Minority interests	54	58	65	74	85						
Total equity	15,828	17,338	15,150	18,605	22,716						
Net debt (Adj)	-8,895	-9,183	-6,182	-8,792	-11,967						
Net debt to equity (Adj) (%)	-56.2	-53.0	-40.8	-47.3	-52.7						

For definitions of the items in this table, please click [here](#).

Figure 1. Hengli: Earnings forecast revisions

In Rmb mn	Old			New			% Change		
except where indicated	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
P&L									
Revenue	13,814	17,227	21,183	13,880	17,675	21,900	0%	3%	3%
Gross profit	5,801	7,204	8,821	5,814	7,303	8,993	0%	1%	2%
Operating profit	3,657	4,823	5,842	3,660	4,851	5,901	0%	1%	1%
Net profit	3,288	4,325	5,242	3,291	4,350	5,295	0%	1%	1%
EPS (Rmb)	2.45	3.23	3.91	2.45	3.24	3.95	0%	1%	1%
Margin									
GPM	42.0%	41.8%	41.6%	41.9%	41.3%	41.1%	-0.1pp	-0.5pp	-0.6pp
OPM	26.5%	28.0%	27.6%	26.4%	27.4%	26.9%	-0.1pp	-0.6pp	-0.6pp
NPM	23.8%	25.1%	24.7%	23.7%	24.6%	24.2%	-0.1pp	-0.5pp	-0.6pp

In Rmb mn	Consensus			CitiE			CitiE vs. Consensus		
except where indicated	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
P&L									
Revenue	13,229	15,625	18,432	13,880	17,675	21,900	5%	13%	19%
Gross profit	5,614	6,698	7,915	5,814	7,303	8,993	4%	9%	14%
Operating profit	3,766	4,564	5,441	3,660	4,851	5,901	-3%	6%	8%
Net profit	3,433	4,217	5,033	3,291	4,350	5,295	-4%	3%	5%
EPS (Rmb)	2.59	3.16	3.76	2.45	3.24	3.95	-5%	3%	5%
Margin									
GPM	42.4%	42.9%	42.9%	41.9%	41.3%	41.1%	-0.6pp	-1.5pp	-1.9pp
OPM	28.5%	29.2%	29.5%	26.4%	27.4%	26.9%	-2.1pp	-1.8pp	-2.6pp
NPM	26.0%	27.0%	27.3%	23.7%	24.6%	24.2%	-2.2pp	-2.4pp	-3.1pp

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Source: Company Reports and Citi Research Estimates, Bloomberg

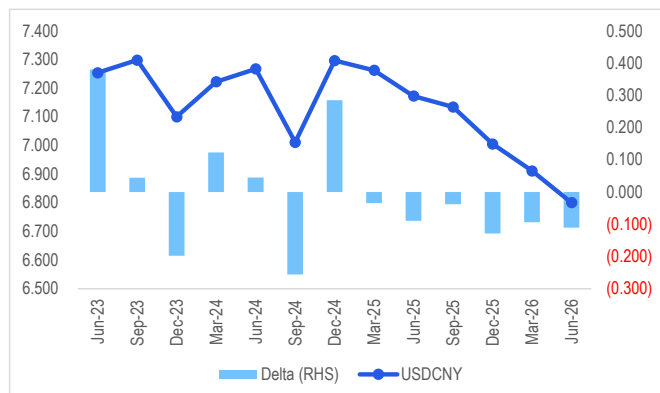
Figure 2. Hengli: Quarterly P&L summary

Rmb mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	YoY	QoQ	Consensus	Diff.
P&L										
Net sales	2,422	2,749	2,619	3,151	3,210	3,574	30%	11%	3,388	5%
Gross profit	954	1,210	1,104	1,281	1,238	1,573	30%	27%	1,439	9%
Operating profit	716	888	729	711	734	970	9%	32%	930	4%
Net profit	618	812	658	647	652	888	9%	36%	867	2%
EPS (Rmb)	0.461	0.605	0.491	0.483	0.486	0.662	9%	36%	0.646	2%
Margin										
GPM	39.4%	44.0%	42.2%	40.6%	38.6%	44.0%	0.0pp	5.4pp	42.5%	1.5pp
OPM	29.6%	32.3%	27.8%	22.6%	22.9%	27.1%	-5.1pp	4.3pp	27.5%	-0.3pp
NPM	25.5%	29.5%	25.1%	20.5%	20.3%	24.9%	-4.7pp	4.5pp	25.6%	-0.7pp

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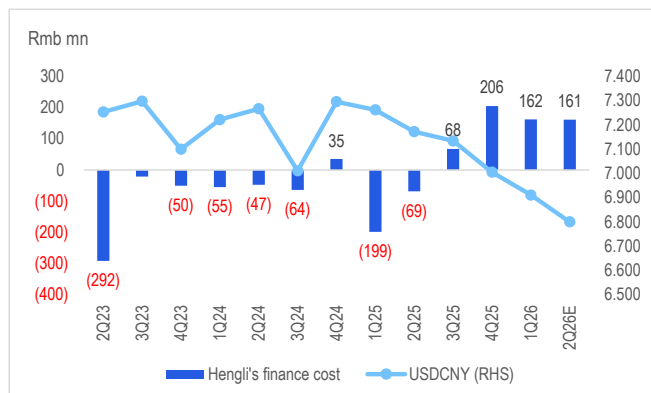
Source: Company Reports and Citi Research Estimates, Visible Alpha

Figure 3. USDCNY and its changes



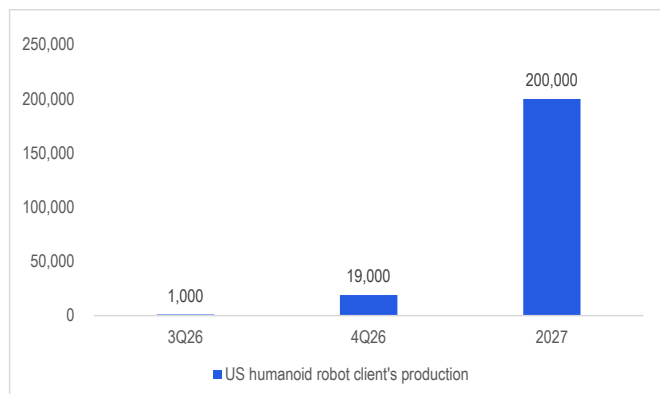
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Source: Citi Research, Bloomberg

Figure 4. Hengli: Financial costs vs. USDCNY



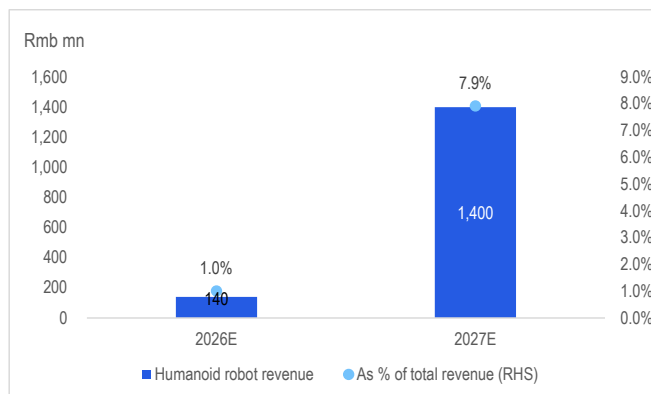
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Source: Company Reports and Citi Research Estimates, Bloomberg

Figure 5. Hengli: US humanoid robot client's production estimate



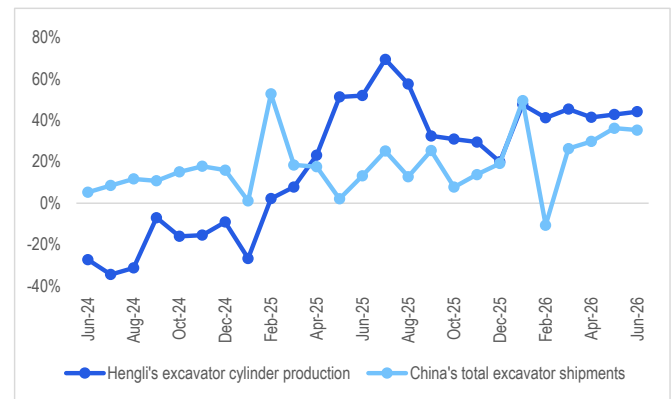
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*The production estimate is based on our checks with Chinese supply chain
Source: Company Reports and Citi Research Estimates

Figure 6. Hengli: Humanoid robot revenue and as % of total revenue



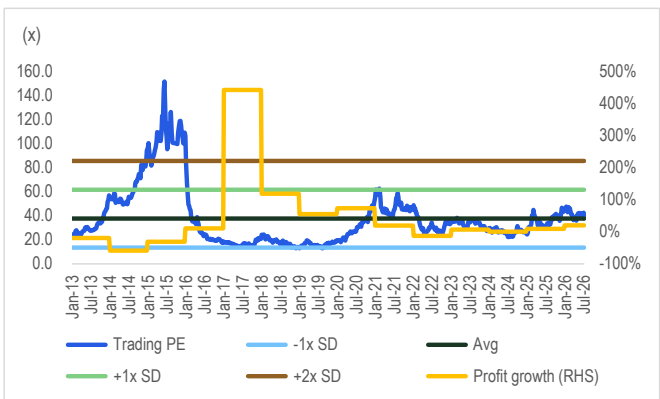
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Source: Company Reports and Citi Research Estimates

Figure 7. YoY: Hengli's excavator cylinder production vs. China total excavator shipment



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Source: Citi Research, CCMA

Figure 8. Hengli: Forward P/E trends vs. earnings growth



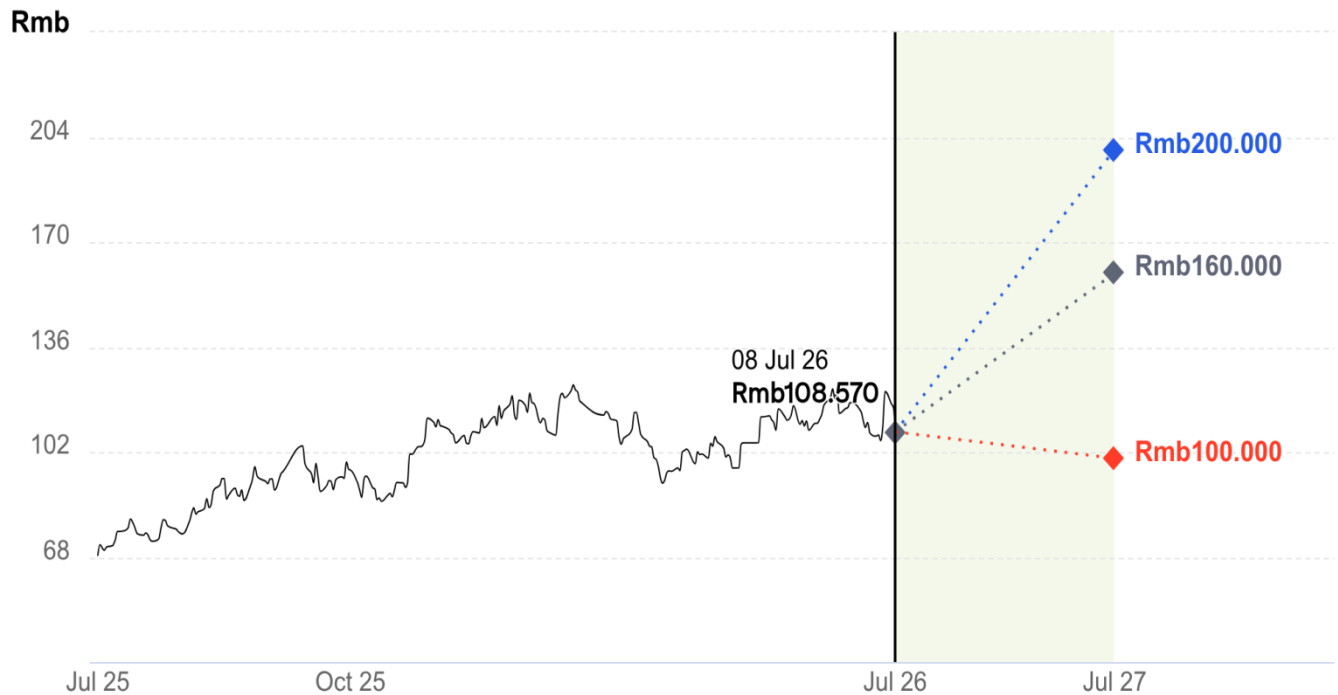
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Source: Company Reports and Citi Research Estimates

Bull/Bear: Hengli Hydraulic (601100.SS)

Rmb **200.000**
▲84% Upside

Rmb **160.000**
▲47% Upside

Rmb **100.000**
▼7.9% Downside



Spread 92pp
Current Price and expected returns (upside/downside) as of 08 Jul 2026

BULL Assumptions

- Valuation rerate on 62x 2027E P/E on strong product demand.
-

BASE Assumptions

- Valuation based on 50x 2027E P/E.

BEAR Assumptions

- Valuation derate on 38x 2027E P/E due to weaker demand.

Hengli Hydraulic

Company description

Jiangsu Hengli Hydraulic is a China-based company principally engaged in the research, development, manufacture and distribution of hydraulic parts & components. Hengli is China's No.1 hydraulic parts supplier. The company's products mainly include hydraulic cylinders, pumps and valves, hydraulic systems, and precision casting, among others. The company distributes its products within the domestic market and also to overseas markets. The company was listed on A-share market in October 2011.

Investment strategy

We rate Hengli Buy as: 1) we expect not only sequential business recovery but also a bright 2026, driven by not only improving excavator component demand but also non-excavator component demand recovery as well as new order wins; and 2) we also expect its humanoid robot revenue exposure to lead to share price rerating.

Valuation

Our target price for Hengli of Rmb160.0 is based on 50x 2027E P/E, which is equal to its average P/E + 0.5x SD, to reflect its strong core business and potential re-rating due to rising humanoid robot exposure.

Risks

Key fundamental downside risks include: 1) weaker demand for excavator and non-excavator components; 2) weaker profitability of ball screw and Mexico plants due to weaker economies of production scale; and 3) lower-than-expected GPM on favorable product mix change. Any of these risk factors could cause the stock to deviate from our target price.

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Appendix A-1

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Hengli Hydraulic (601100.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	03-Sep-23 11:12:07	1	*80.00	64.08
2	16-Oct-23 11:50:01	1	*74.00	59.56
3	07-Nov-23 17:22:26	1	*68.00	57.30
4	23-Apr-24 06:18:54	1	*59.00	51.24

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	27-Aug-24 09:15:53	1	*62.00	48.12
6	29-Apr-25 11:21:40	1	*85.00	73.71
7	26-Aug-25 10:25:10	1	*105.00	86.90
8	18-Dec-25 11:38:03	1	*135.00	105.00

	Date	Rating	Target Price	Closing Price
9	22-Apr-26 11:42:00	1	*125.00	101.08
10	11-Jun-26 23:42:55	1	*160.00	122.51

Rating/target price changes above reflect Eastern Time

Hengli Hydraulic (601100.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Nov-23 02:23:35	Add CW	Downside	30 Days	58.22
2	08-Dec-23 11:00:30	Remove CW	Downside	30 Days	52.77
3	25-Jul-24 02:08:49	Add STV	Upside	90 Days	45.28
4	23-Oct-24 23:28:11	Remove STV	Upside	90 Days	57.35

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
5	29-Oct-24 20:50:50	Add CW	Downside	90 Days	53.00
6	20-Jan-25 01:12:43	Remove CW	Downside	90 Days	61.91
7	10-Jul-25 04:48:00	Add CW	Upside	30 Days	70.20
8	08-Aug-25 14:18:06	Remove CW	Upside	30 Days	78.13

	Date	Action	Expected Direction	Duration	Closing Price
9	26-Aug-25 06:25:10	Add STV	Upside	90 Days	86.90
10	24-Nov-25 21:14:47	Remove STV	Upside	90 Days	92.06

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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